

ago. Split 2-for-1 in 1965, the stock now sells at 34—on an adjusted basis, just a little over its \$60 price in 1964. Meanwhile, the CPI has more than tripled. Therefore, each share commands about one-third the purchasing power it did at the end of 1964. Regular dividends have been paid but they, too, have shrunk significantly in purchasing power. This devastating outcome for the shareholders indicates what can happen when much brain power and energy are applied to a faulty premise.

Buffett concluded from his experience with Berkshire's relentlessly loss-making textile business that, "Should you find yourself in a chronically-leaking boat, energy devoted to changing vessels is likely to be more productive than energy devoted to patching leaks."⁵¹

Like Buffett in the textile industry, Pickens was unburdened by the oil and gas industry's notions of reinvestment. He saw the futility of allocating capital at below-market rates of return and, in the absence of better prospects, the opportunity for realizing a return by redirecting that excess capital into the hands of shareholders. Limited by his own investment capital, Pickens relied on ingenuity to achieve those ends, a crucial element of which was the market for corporate control—the market in which alternative management teams compete for the rights to manage corporations. By making possible an involuntary exchange of control of publicly traded companies, the stock market creates a competitive market for the management of corporations. Pickens never did get control of a major, or persuade one to restructure by specifically adopting his royalty trust idea, but he did prompt change at each of the companies that was subject to Mesa's attention. Many in the media interpreted his campaigns as quixotic tilts at unassailable windmills, misconstruing as failed takeovers his efforts to draw attention to deeply undervalued and poorly managed companies. Some investors, however, did take notice. What better platform than a well-publicized proxy fight and tender offer to highlight mismanagement and underexploited intrinsic value, and advocate for change? Just as Pickens' had in the oil and gas industry, they saw that the market for corporate control could be used as a catalyst to induce either a voluntary restructuring or takeover by a bigger player in other industries.

Observing that investors could capture investment returns by taking positions in undervalued stocks, and then precipitating a corporate catalyst like a takeover or liquidation, a group of so-called "takeover entrepreneurs" or "corporate raiders" started harassing companies in the 1980s. Often equipped with little more than ambition, they took advantage of the swathe of deeply undervalued companies and liquidity provided by the roaring market for control to generate outsized returns. Some sought to acquire